ASML Holding (ASML.AS): Robust AI demand and rising EUV throughput; reiterate Buy

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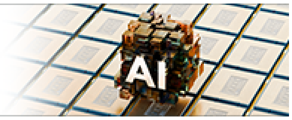

ASML's 1Q26 revenue was slightly above Visible Alpha Consensus Data, and EBIT of €3.2bn was 4% above consensus. As such, the company upgraded its guidance for 2026 and expects revenue between €36bn and €40bn (vs €34bn to €39bn prior), with gross margins between 51-53% (unchanged). We note that the guide for 2026 implies revenue broadly in line with cons at the mid-point (and 5% ahead at the top end of the guide). Key takeaways include 1) AI-driven demand sustains EUV strength with broad-based capacity expansion, 2) GMs supported by installed base, with future margin expansion underpinned by favourable mix, 3) Capacity additions driven by customer commitments and strong demand visibility, and 4) Continued progress in High NA, with increasing customer adoption signals.

- **AI-driven demand sustains EUV strength, with broad-based capacity expansion:** ASML expects strong EUV demand this year, supported by both Low and High NA systems, against a backdrop of continued strength in semi demand driven by AI infra investment. This is underpinned by robust demand across both advanced Memory and Logic, with Memory customers effectively sold out for the remainder of the year and supply constraints expected to persist beyond 2026. In Logic, customers are expanding capacity across multiple advanced nodes while continuing to ramp 2nm to support next-gen HPC and mobile applications, with similar supply tightness expected at leading-edge nodes. While EUV remain the key growth driver, ASML now expects its non-EUV business to grow in 2026 (vs prior expectations of flat yoy), reflecting broader-based demand strength. Importantly, we note that this growth is not contingent on China strength, with the region expected to remain c.20% of revenues, a level we view as conservative given backlog visibility and constructive commentary from peers. Against a backdrop of strong bookings and a raised FY26 outlook, any potential downside in China demand would likely be offset by strength in other regions, with upside risk should China prove more resilient.
- **GMs supported by installed base, with future margin expansion underpinne by favourable mix:** Gross margin for the quarter came in at the high end of guidance, primarily driven by a favourable contribution from the installed base

business. Despite a more constructive outlook for immersion, ASML maintained its margin guidance, reflecting near-term cost pressures associated with increasing output, including hiring and ramp-related inefficiencies that typically precede volume benefits. Looking ahead, the company sees scope for ASP expansion into 2027, driven by a favourable mix of higher-value systems. In addition, continued improvements in EUV throughput and increasing lithography intensity per wafer are expected to support pricing and margin progression over time. The upgrade business is also expected to remain strong through the year, providing further support to margins, while any resilience in China demand could present incremental upside.

- **Capacity additions driven by customer commitments and strong demand visibility:** ASML noted that both Memory and Logic customers are increasing capex and accelerating capacity expansion plans into 2026 and beyond, supported by long-term customer commitments; this ongoing supply-demand imbalance across end markets is driving customers to add capacity. In this vein, ASML is ramping its own output, targeting capacity of around 60 EUV systems in 2026 and increasing this output potential to at least 80 systems in 2027, above prior consensus expectations of 72. This ramp is underpinned by strong order intake and visible customer demand, particularly linked to HBM and advanced Logic. Importantly, management emphasised that the 80 system production capacity target reflects close engagement with customers, with ongoing discussions potentially supporting further upside, in our view. In parallel, ASML continues to scale DUV and applications capacity in line with demand. Overall, this level of customer engagement provides strong visibility and confidence in the capacity ramp.
- **Continued progress in High NA, with increasing customer adoption signals:** ASML reported continued progress on High NA EUV, with the platform having processed over 500k wafers and achieving availability of >80%. Customers are also demonstrating tangible progress, with data suggesting High NA can significantly reduce multi patterning requirements (from 3-4 exposures under Low NA) and compress process steps by a factor of 10, with applicability across multiple future nodes as the ecosystem matures. In DRAM, the transition toward EUV continues, driven by its space efficiency, and management noted that the threshold for adopting High NA on existing products is relatively low, reflecting a combination of sustained capacity requirements and improving ecosystem readiness. Collectively, this reinforces the case for a gradual ramp in High NA adoption as ecosystem maturity and customer economics improve, in our view.

Changes to estimates

We raise our FY26-30 revenue estimates by c.6-10% to reflect continued strong leading-edge Logic/Memory demand associated with AI and higher ASPs for its Low NA EUV tools driven by continued productivity improvements. As such, we maintain our positive view on ASML's ability to benefit from LT demand for leading-edge nodes used for applications such as AI/HPC and SP/PC as well as an inflection in Lithography intensity. Further, our FY26-30 gross profit estimates are higher by c.6-10%, reflecting changes to the topline and our assumptions around product mix. Our FY26-30 EBIT estimates change by +5% to +12% to reflect our latest topline and opex estimates.

Finally, our EPS forecasts change by +6% to +12% (factoring in our EBIT and share count assumptions).

Valuation and key risks

We are Buy rated on ASML with a 12-month price target of €1,570 (vs €1,450 prior), based on a 37x CY27 P/E multiple (unchanged) applied to our higher estimates. Key risks to our view and price target include EUV delays, capex cyclicality and unfavourable market share shifts.

ASML.AS	12m Price Target: **€1,570.00**	Price: **€1,230.00**	Upside: **27.6%**

Buy

Market cap: €472.8bn / $557.7bn
Enterprise value: €455.4bn / $537.3bn
3m ADTV: €900.2mn / $1.1bn
Netherlands
European Semiconductors, Hardware and Gaming Tech
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	**12/26E**	**12/27E**	**12/28E**
Revenue (€ mn) New	**32,667.3**	**39,815.5**	**49,233.3**	**54,535.5**
Revenue (€ mn) Old	32,667.3	37,673.0	45,455.3	50,285.5
EBIT (€ mn)	11,301.5	14,290.0	19,594.8	22,877.6
EPS (€) New	**24.16**	**30.98**	**42.73**	**50.30**
EPS (€) Old	24.16	29.28	39.42	46.35
EV/sales (X)	8.3	11.4	–	–
EV/EBITDA (X)	22.0	29.7	–	–
P/E (X)	30.0	39.7	28.8	24.5
Org. sales grth (%)	–	–	–	–

	3/26	**6/26E**	**9/26E**	**12/26E**
EPS (€)	6.88	6.60	7.37	10.13